

The federal Truth in Lending Act requires lenders to disclose the annual percentage rate (APR) and the total finance charges to borrowers in writing. The APR is the average annual finance charge. It's more meaningful than the interest rate alone because it includes costs such as loan origination fees, private mortgage insurance premium, and points.

The APR levels the playing field by allowing you to quickly and painlessly compare loans that have different rates and fees. It's a much more accurate indicator of the cost of the loan. Be aware, however, that it can't be used as an accurate comparison of borrowing costs on adjustable-rate mortgages.

Paying Points

Points are a percentage of the loan amount that you pay up front to "buy down" the interest rate on a mortgage. One point is 1 percent of the loan and usually lowers the interest rate by $\frac{1}{4}$ percent. One point on a \$100,000 loan would be \$1,000, two points would be \$2,000, and so on. A 7 percent loan with one point is not necessarily better (or worse) than an 8 percent loan with no points. Remember, you have to look at the APR to compare rates and fees. Paying points in order to get a lower interest rate may be worthwhile if you're planning to stay in the house for five years or more. The lower interest rate saves you a lot of money over the long term, but if you sell in less than five to ten years you won't have time to recoup your costs.